



Intangibles Value Advisory Report

The Intangibles Value Starter Guide

Prepared for founders who are in the early stages of value discovery and want to understand the difference between standard financial value and true intangible asset value.

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Important notice: This report is general guidance based on assessment responses. It is not a valuation report, investment advice, legal advice, tax advice, or a commitment to support fundraising. Bain Squared does not guarantee funding, investor interest, valuation uplift, or transaction completion. Formal advice requires a separate engagement and review of source documentation.

Your Assessment Summary

Based on your responses, you are currently exploring how valuation works, but you do not have an immediate transaction planned. You are in the early stages of identifying and tracking the intangible assets that drive your company's worth. This guide provides a baseline for what you should track as your business grows.

Section 01

You are in the early stages of value discovery.

If you do not have an immediate fundraising, sale, or succession event planned, you are in the ideal window for value discovery. This is the time to identify the value drivers that are not yet fully developed or visible to an outside investor.

This does not mean your business lacks value. It means the value drivers may not yet be fully developed, documented, or visible to an outside investor, buyer, lender, or board member.

This guide explains the difference between standard financial value and true business value, why intangible assets matter over time, and what you should start tracking now so your valuation story becomes stronger as the company grows.

Section 02

Financial Value vs. Intangible Value

Most business owners understand financial value. If your business generates \$1 million in profit, and comparable companies in your industry typically sell for 4 times profit, the

starting valuation might be \$4 million. That is a standard financial multiple. It is useful because it gives everyone a common reference point. But a financial multiple only captures what shows up clearly in the financial statements. It does not fully capture why customers choose you, why revenue repeats, why your team can deliver faster than competitors, or why your product or service is difficult to replicate.

Intangible assets are the non physical assets that make revenue more defensible and profit more sustainable. They include brand strength, customer relationships, software, data, proprietary processes, intellectual property, know how, and long term contracts.

When these assets are properly documented and valued, they can support a more complete view of enterprise value. In more mature situations, this is often reflected through a sum of parts valuation, where the financial business is assessed alongside the intangible assets that support its durability.

Important Note

At your current stage, the goal is not to overstate value. The goal is to understand what value may already be forming and what evidence you need to build over time.

Section 03

Why Start Thinking About This Now?

If you are not raising funds or selling the business tomorrow, it may feel premature to think about intangible asset value. In reality, this is the best time to start. Undocumented value is usually treated as uncertain value. Investors, buyers, and lenders do not give full credit for claims they cannot verify.

Early tracking changes how you manage the business. If customer relationships are becoming the strongest source of value, you should track churn, repeat purchases, customer concentration, and renewal behaviour. If technology is improving margins, you should document the workflows, cost savings, and productivity gains. If brand is helping you charge a premium, you should start collecting customer feedback and market evidence.

Section 04

What to Start Tracking.

The strongest valuation stories are built before they are needed. Start by identifying which intangible assets already exist in your business, then create a simple documentation habit around them.

Asset Type	What You Should Start Tracking
Brand	Customer survey data, Net Promoter Scores, brand recognition indicators, referral sources, and evidence that you can charge a premium over competitors.
Customer relationships	Churn rates, repeat purchase data, customer concentration, account expansion, customer tenure, and renewal behaviour.
Recurring revenue	The percentage of revenue that comes from subscriptions, retainers, recurring contracts, automatic renewals, or repeat customer behaviour.

Software and technology	Documentation of internal tools, product systems, and measurable cost or time savings compared with manual alternatives.
IP, trademarks, and know how	Registration certificates, licence agreements, proprietary methods, technical documentation, evidence of active use, and ownership records.

Section 05

What to Do Next.

Step 1	Start by sharing this guide with your co founders or management team. Align on which intangible assets are already driving the business and which ones still need to be developed.
Step 2	Create a central folder for the evidence listed in Part 3. This does not need to be sophisticated. A simple structure for customer data, contracts, brand materials, technology documentation, IP records, and management notes is enough to begin.
Step 3	Review the folder quarterly. Over time, you should be able to see which assets are becoming more measurable, which ones require investment, and which ones could eventually support a stronger valuation story.